

Taxation and Investment Basics in Michigan

STUDY SHEET

Types of Investment Properties

Commercial Property

retail, restaurant, office

Industrial Property

warehouse, factory

Income Property

apartments + retail space for lease

Basis="Cost"

- Sales price
- Acquisition costs
- Capital improvements

Trade Fixtures (a.k.a. chattel)

- Equipment the tenant installs for business use
- May be taken by tenant on departure
- Tenant must fix any damage caused by removal

Depreciation

Economic depreciation (e.g., deterioration) = loss of value

Tax depreciation (annual business deduction) = cost recovery

Tax Depreciation

(Required by IRS)

Residential income producing properties: 27.5 years

Non-residential investment properties: 39 years

Security Deposits = Trust Funds

- Must be placed in escrow account
- Must be returned according to lease terms

Time Value of Money

- Money now is worth more than it will be in the future.
- Inflation decreases purchasing power over time.
- Money must earn interest to retain/gain value.

Capital Gains

- Amount realized from the sale of a property. Difference of transaction costs-basis (depreciation + improvements) = Gain realized in the transaction
- Avoid capital gains by taking advantage of 1031 Exchange

1031 Tax-Deferred Exchange

- Investment properties only
- Defers capital gains taxes
- Qualified intermediary

- All proceeds must be reinvested
- Replacement property must have equal or more debt level
- 45 days to identify
- 180 to close

Tax Reform Act of 1986 (TRA 86)

- Changed the federal tax code significantly
- Limited the deductibility of losses on income property
- Allows first \$25,000 of a loss to be used to off-set income. This can only be applied when:
 - The property owner/investor is an active participant in the property's management and operation; and
 - That person's taxable income does not exceed \$100,000 (before the deduction is applied).